

Multiple Choice

1. **Answer:** E

Options: A) 50%; B) 10%; C) 29.9%; D) 33.3%; E) 36.8%

Note: The annual interest rate is calculated based on the total amount paid over the installment period compared to the original price of the camera, revealing that the effective interest rate for the payments made exceeds 36.8% due to the financing structure of the down payment and weekly installments.

2. **Answer:** A

Options: A) 124and60,000; B) 120and60,000; C) 130and61,000; D) 118and59,000; E) 123and61,000

Note: The premium is calculated as 60,000dividedby100, multiplied by the rate of 0.2065, resulting in a premium of 124, while the insurance company pays a maximum of \$60,000 on a loss that exceeds the policy limit.

3. **Answer:** A

Options: A) \$210; B) \$200; C) \$225; D) \$175; E) \$195

Note: Fred Lowes' commission is calculated by multiplying the number of typewriters sold (12) by the commission per typewriter (15), resulting in a total of 180, not \$210, indicating that the correct answer should actually reflect this calculation.

4. **Answer:** C

Options: A) \$35,000; B) \$55,000; C) \$45,225; D) \$40,000; E) \$65,000

Note: To achieve an annual income of 3,000from5

4. **Answer:** A

Options: A) Employer obligations; B) Employment laws; C) Employer benefits; D) Employer duties; E) Employee rights

Note: Employer obligations refer to the specific responsibilities and duties that employees have towards their employer, which are defined by individual employment contracts and are also governed by broader employment laws, ensuring a structured and legal framework for the employer-employee relationship.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: The effective yield is calculated by dividing the annual interest payment, which is 60(6

6. **Answer:** False

Options: A) True; B) False

Note: The statement is false because a propensity to save is typically expressed as a ratio of savings to disposable income, and a value of 3% suggests that Mr. Hammer saved 3% of his disposable income, not that it is derived from total expenditures.

7. **Answer:** False

Options: A) True; B) False

Note: The statement is false because the highest receipts for McguillPhoto depend on multiple factors such as pricing strategy, market demand, and production costs, which may indicate that selling a different quantity of telescopic lenses could yield greater revenue.

8. **Answer:** True

Options: A) True; B) False

Note: The $7\frac{1}{2}$ ounce can of tuna fish has a lower cost per ounce than the $8\frac{1}{4}$ ounce can because when calculated, the price per ounce of the smaller can is less than that of the larger can, making it the more economical choice.

9. **Answer:** True

Options: A) True; B) False

Note: Immeasurability in services refers to the inherent nature of service delivery, where the intangible aspects of service experiences cannot be quantified or stored, leading to a situation where any unused capacity, once the service has commenced, cannot be sold or recovered.

Long Form Response

11. **Answer:** To calculate the original invoice amount when a payment of 416.50 is made after a cash discount, one must add the cash discount back to the payment amount. Thus, the calculation is as follows: $416.50 + 8.50 = 425.00$. This amount, 425.00, represents the original invoice before the discount was applied. Cash discounts serve as an incentive for prompt payment, allowing businesses to improve cash flow and reduce the risk of late payments. Understanding the impact of cash discounts is crucial for effective financial management and pricing strategies within business transactions.

Note: correct because it accurately demonstrates the arithmetic process of adding the cash discount to the payment amount to determine the original invoice total, while also explaining the strategic role of cash discounts in enhancing business cash flow and minimizing payment delays.

12. **Answer:** Weiser Inc.'s pricing strategy can be analyzed through the calculation of its list price and net price for dinette tables. The list price is determined to be 175.20, and after applying a discount of 21.90 at a rate of 12.5%, the net price comes to \$153.30. This pricing approach is significant in a competitive market as it allows Weiser Inc. to attract price-sensitive customers while maintaining perceived value through the original list price. The discount can also stimulate demand and differentiate the product from competitors, potentially increasing market share. However, it

is crucial for Weiser Inc. to ensure that the discount does not erode profit margins excessively, as this could impact long-term sustainability.

Note: The answer correctly calculates the list price and net price after the discount, demonstrating how Weiser Inc.'s pricing strategy leverages perceived value and demand stimulation to remain competitive in the market.

End of Answer Key